INSEAD MBA · Identifying New Business Models · Session 01

Introduction and Four Myths

Stephen Chick · Technology and Operations Management · stephen.chick@insead.edu

About Steve Chick

Research, teaching, and advising in analytics, sustainability, and entrepreneurship.

sechick.github.io

TAUGHT · STUDIED

WORKED · BUILT · ADVISED · INVESTED

02

The lab and the field

I work on the operations of innovation.

Ray C. Anderson Center for Sustainable Business

Academic Director, INSEAD Healthcare Management Initiative.

Georgia Tech Scheller College of Business
Ray C. Anderson Center for Sustainable Business

torneio

Codeveloped, with Andre Calmon and Rafa Ballestiero, tool for innovation torunaments, used by Georgia Tech, INSEAD, Georgetown, others; multiple executive education programs in the pharma, beverage, energy, health delivery spaces.

Startup mentor

Founders from INSEAD, MIT, and Georgia Tech.

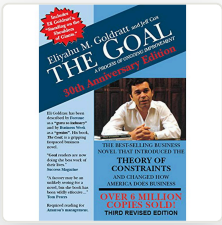
RED. · FULfoods future proof ingredients · INSEACT Feed with Impact · SOKO · Lamarr.AI

acquired 2023

Several of those founders sat where you're sitting. **This week runs the same playbook they used.**

03

What is the Goal?



04

What is ~~the~~ YOUR Goal?

05

INSEAD and entrepreneurship

INSEAD was founded by the father of venture capital.

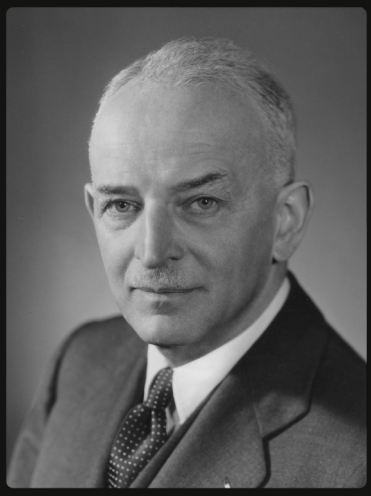
ARD, 1946: the first publicly funded venture capital firm.

$70,000 into DEC, 1957: worth ≈ $355 million at the 1968 IPO, roughly 500×.

Harvard Business School professor: ~7,000 students; WWII Brigadier General.

INSEAD, founded 1957: first MBA class, 1959, at Fontainebleau.

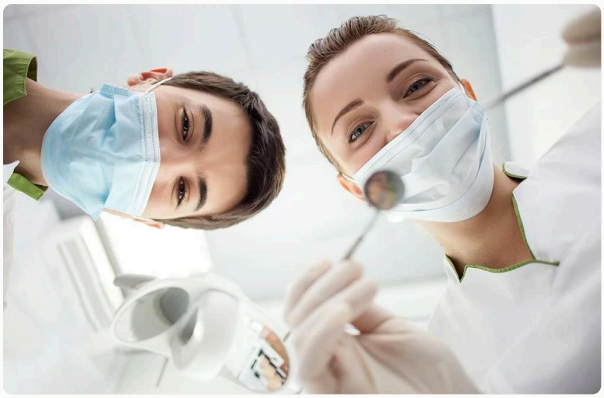
“An average idea in the hands of an able man is worth much more than an outstanding idea in the possession of a person with only average ability.”



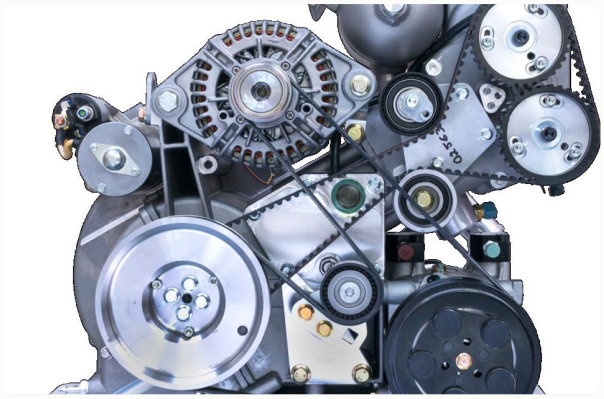
Georges F. Doriot, c. 1962.

06

There are two kinds of managers.



Dentist (service provider)



Capitalist (system designer)

You need to be a bit of both. **This week, you are capitalists.**

A story from James Stone, one of Georges Doriot's students.

07

What is a business model?

Everyone uses the term. Few can define it.

08

You have read this term every week this year

“Business model” is doing heavy lifting in the news.

Bloomberg — 21 January 2026

OpenAI CFO Defends Ads in ChatGPT as ‘Strong Business Model’

FT — 1 February 2026

Will Europe’s planned luggage rules kill the budget airline business model?

ESPN — 20 May 2026

LIV Golf to pitch new business model amid bankruptcy report

The New York Times — 8 June 2026

This Restaurant Stopped Charging for Food. And Profits Are Up.

From the article: “…a solution to a broken industry-wide **business model** as well as a critique of that model.”

Whole industries are renegotiating **how supply meets demand**.

09

Of many definitions, this is the one we’ll use

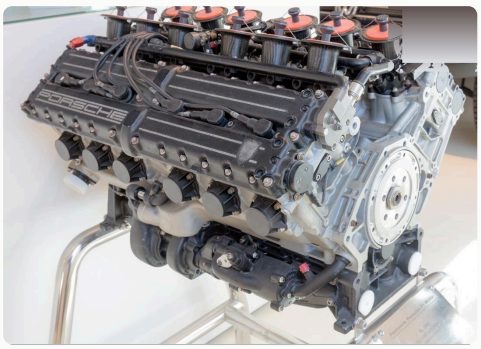
“From an operations point of view, a business model is **the logic of the firm**: the way it operates and how it creates value for its stakeholders. It is a set of **processes, activities, and incentives** used to **match supply and demand**.”

10

An analogy that runs all week

A business model is an engine.

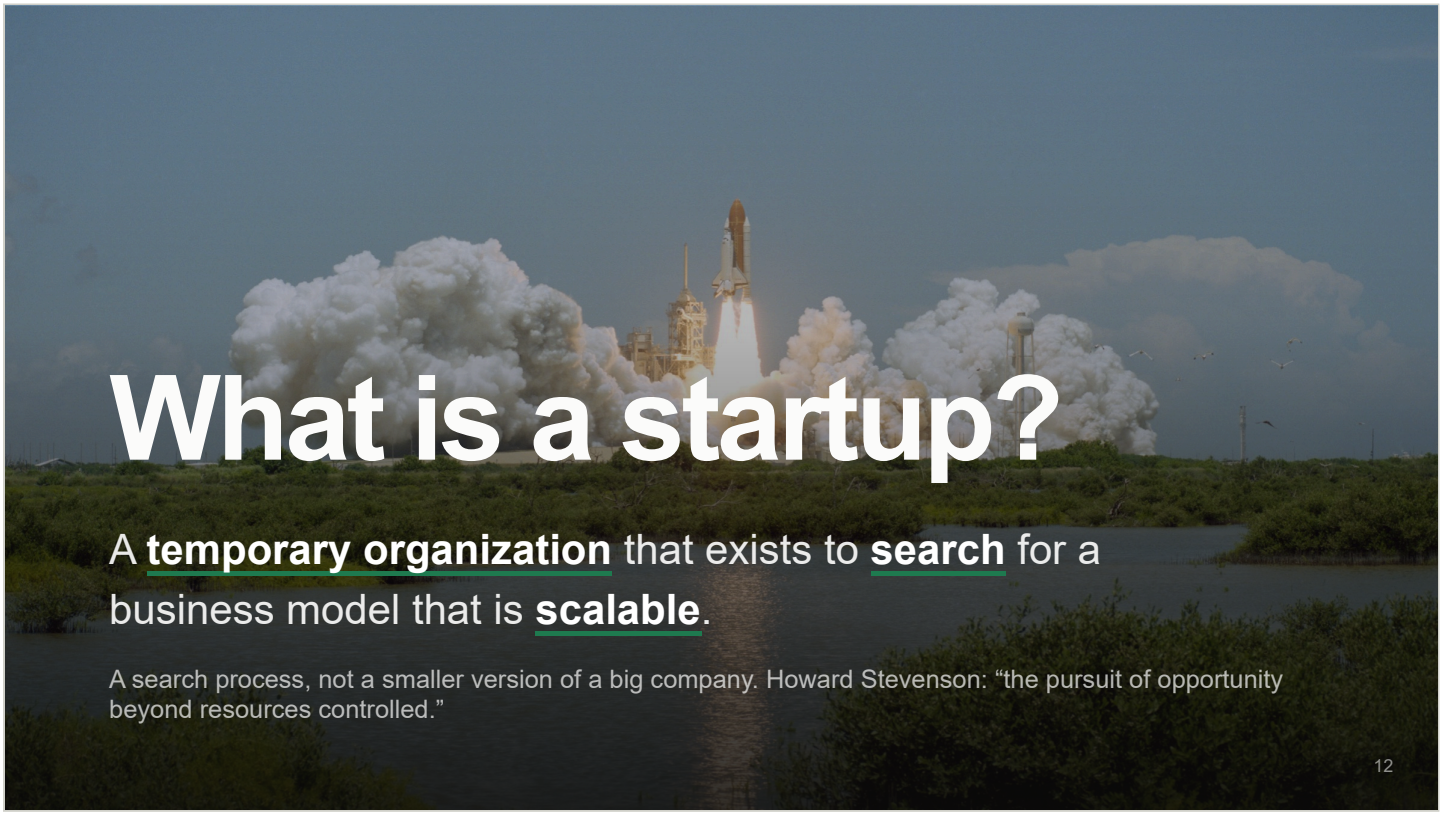
It turns inputs into outputs in pursuit of a goal. It has many interacting parts.



And how is a business model not like an engine?

People are the moving parts.

11

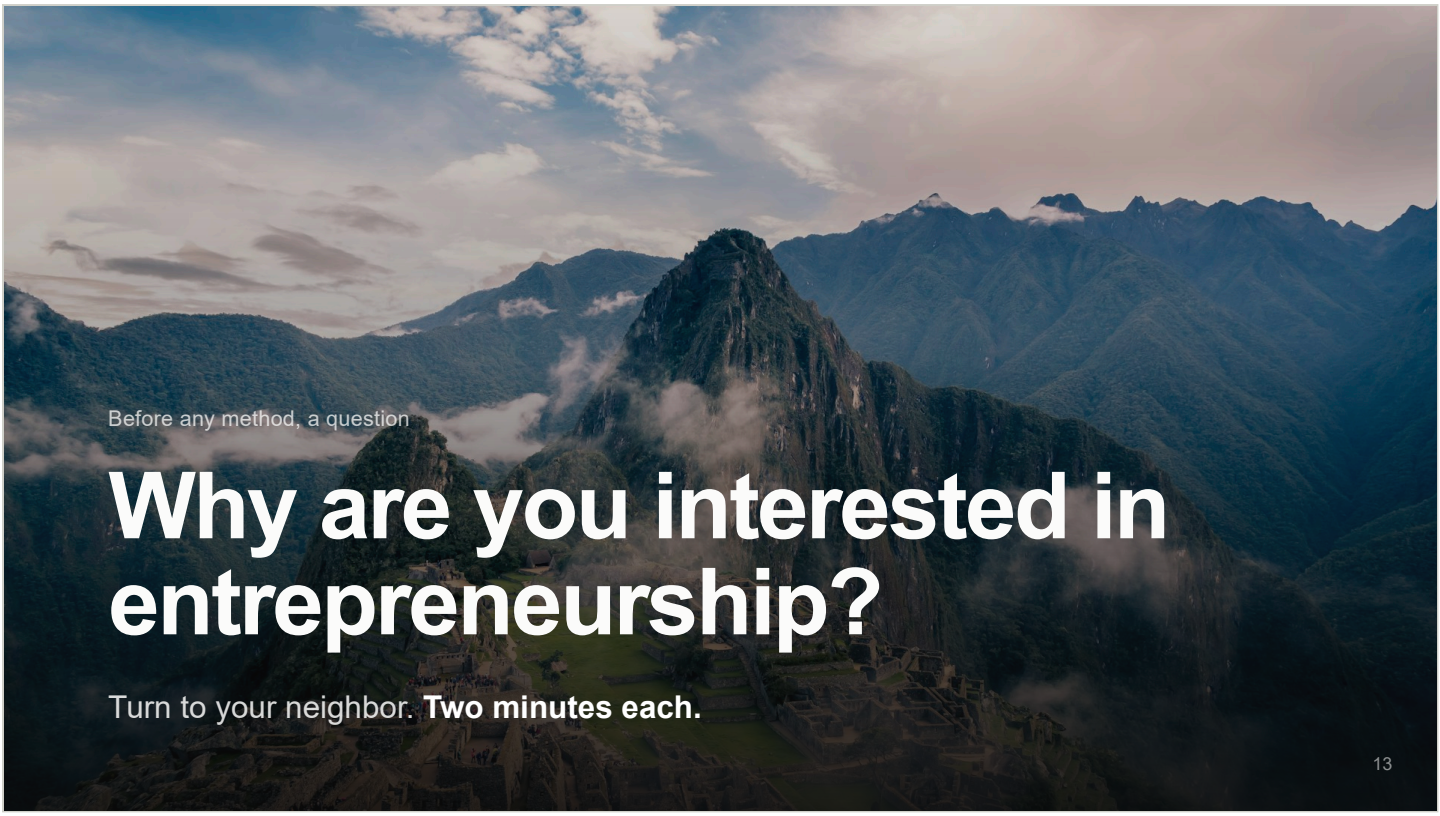


What is a startup?

A **temporary organization** that exists to **search** for a business model that is **scalable**.

A search process, not a smaller version of a big company. Howard Stevenson: “the pursuit of opportunity beyond resources controlled.”

12



June 2026: Doriot's game is changing again

AI is rewriting the rules in front of you.

Gamma	Lovable	Cursor	Midjourney	Safe Superintelligence
$2.1B	**$400M ARR**	**$1B+**	**~$500M**	**$32B**
valuation · ~50 people · profitable	146 people · $100M added in one month	annualized revenue · ~300 people	est. revenue · ~100 people · no VC ever raised	valuation · no product released

> SAM ALTMAN, 2024
>
> "In my little group chat with my tech CEO friends, there's this betting pool for the first year that there is a **one-person billion-dollar company**."

14

What the evidence says so far

AI cuts the cost of building, shifts business models, and shrinks teams.

01	**Building is cheap.** In Y Combinator's Winter 2025 batch, a quarter of startups had codebases about 95% AI generated. Jared Friedman, Y Combinator, March 2025	Y
02	**Business models shift.** Nadella expects per-seat apps to collapse as logic moves to agents; vendors now sell outcomes. Satya Nadella, Microsoft · BG2 podcast, December 2024	Microsoft
03	**Teams stay small.** Gamma reached a $2.1 billion valuation and $100 million ARR with about 50 employees, profitably. Gamma Series B announcement, November 2025	G

Building is getting cheap. Choosing what to build is not.

15

The four myths

Four entrepreneurship myths.

16

MYTH № 1 · PROCESS

~~Great ideas strike you randomly.~~

Great ideas are generated in volume, then selected.

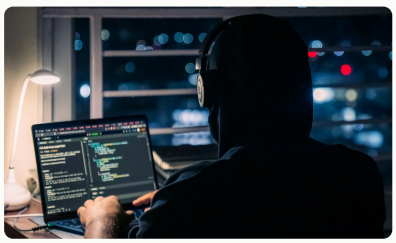
17

The story we tell ourselves

An apple falls. You code all night. You ring the bell.

THE EXPECTATION

The strike of genius. This engraving was Apple's first logo, 1976.

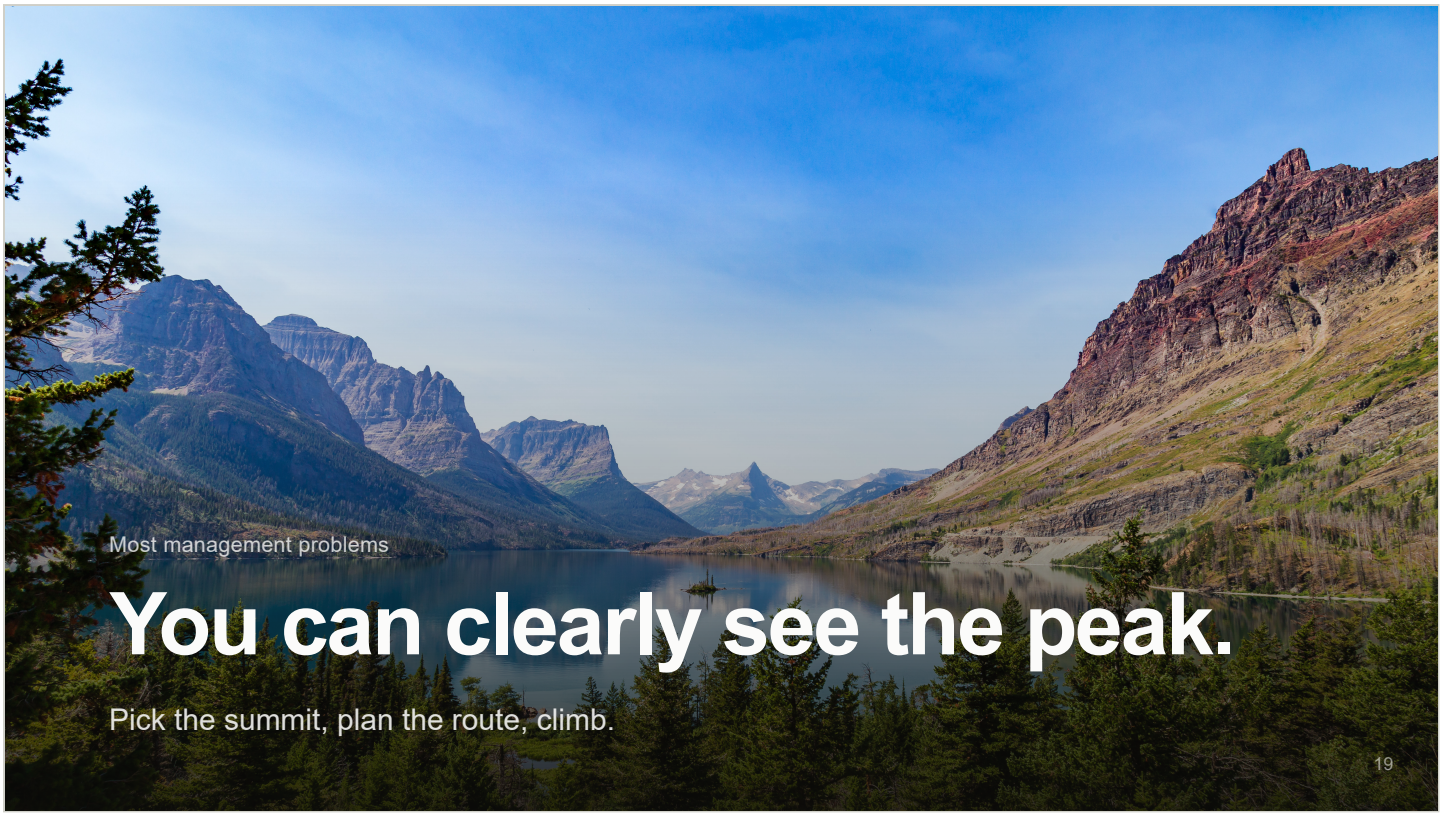


The montage. Forty-eight sleepless hours of furious building.

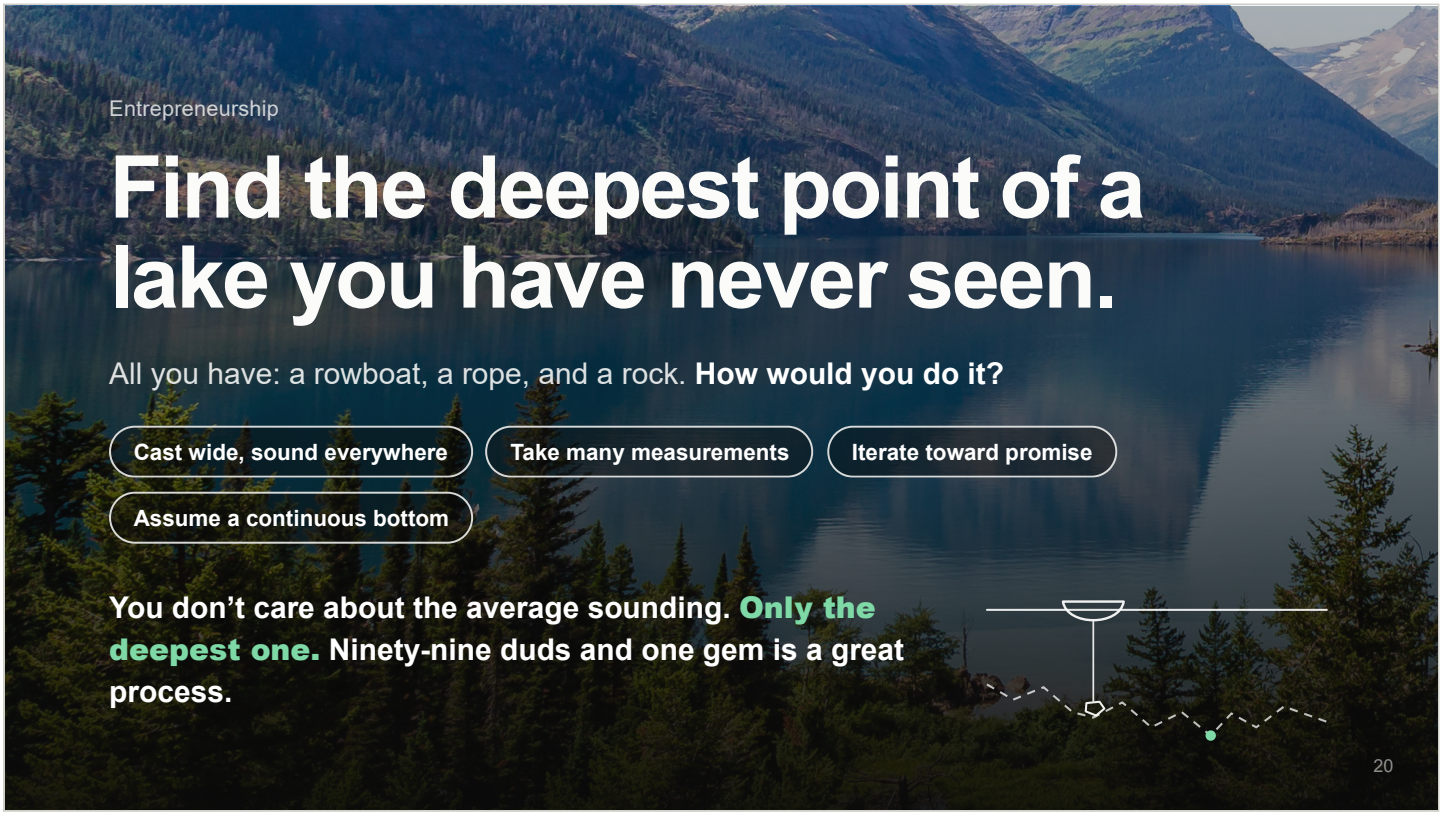
The bell. IPO day, confetti, history.

> THE REALITY Founders generate ideas in volume, select the strongest, and refine them. You cannot schedule a strike of genius. **You can schedule volume.**

18



The mountain 19 / 44

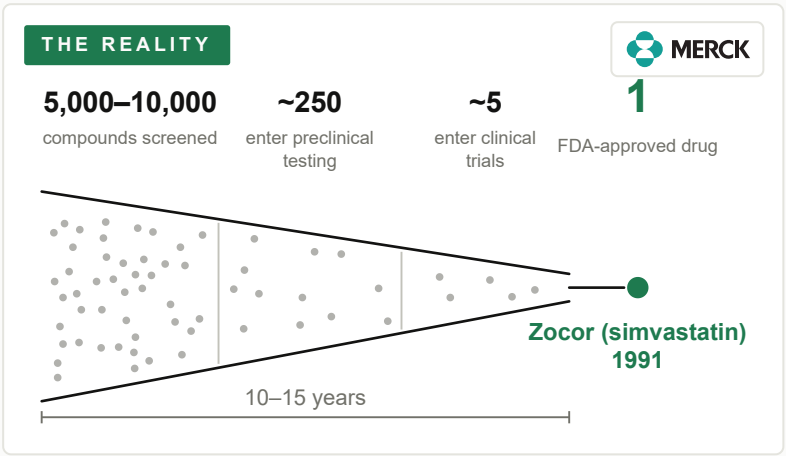


The murky lake 20 / 44

What search actually looks like

The dream is one strike of lightning; the reality is trial and error.

Pharma digs the holes for a living. This is the search for Zocor.



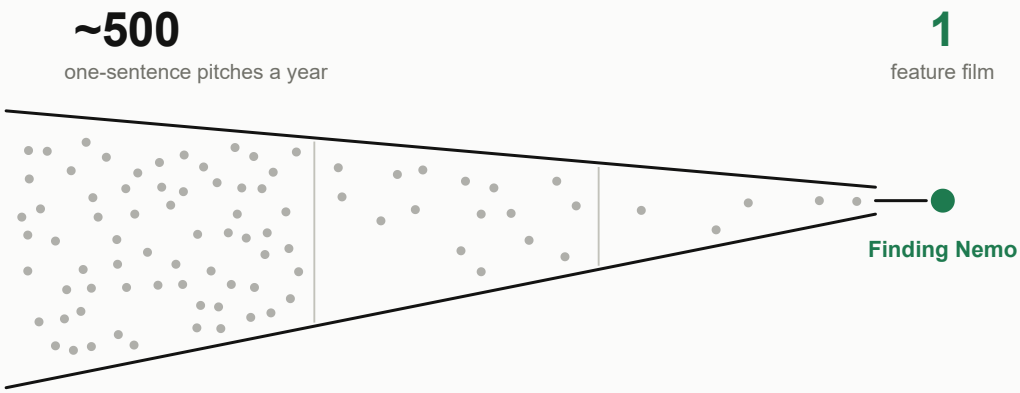
21

Not just pharma

Nemo was found, not struck.

PIXAR ANIMATION STUDIOS

Pixar weighs about 500 one-sentence pitches a year. Round after round, a handful become films.



22

Found a promising sounding? Keep sounding.

The winners are then refined, relentlessly.

dyson SUPERSONIC

A hair dryer.

103 engineers · 50 months

1,010 miles of real human hair tested

£40,000 of hair tresses, briefly a global hair shortage

Reframe GEORGIA TECH

An app that interrupts a craving.

Two engineering students, a $20k CREATE-X pre-seed

3,000+ paid subscribers within months of launch

$1.4M seed, refined from a class project, version by version

23

Girotra, Terwiesch and Ulrich, Management Science 2010

Four levers run the idea factory.

01 Take more draws
Generate more opportunities.

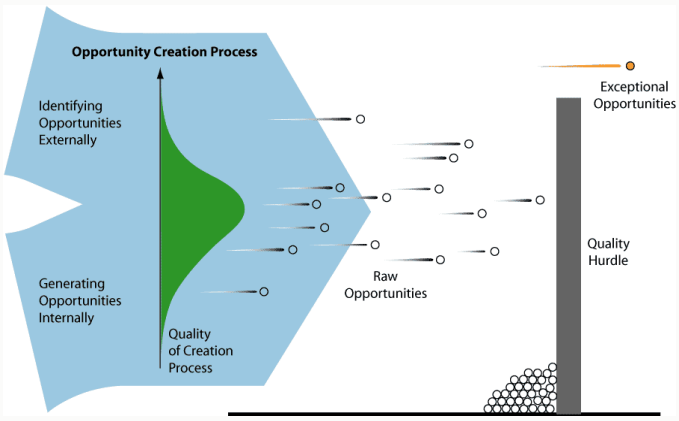
02 Shift the mean
Raise the average quality.

03 Raise the variance
Wider spread, weirder ideas.

04 Evaluate better
Select among them more accurately.

We care only about the right tail: **the quality of the best idea**, not the average.

"Idea Generation and the Quality of the Best Idea." Pre-read: Innovation Tournaments, ch. 3.



24

This class, as a funnel

200 ideas walk in. Ten teams walk out.

200 ideas → 40 sixty-second pitches → 10 teams of 4 → final pitches Friday

25

16–19 June · deliverables

Four day plan

YOU ARE HERE

TUE 16

Generate

Sessions 01–02: myths, the idea factory, tournament launch

Tonight: finish **20+ ideas**, pick 5, submit as **A1** · **due 23:59**

Register on Torneio · **live in Session 02**

WED 17

Select

A2 · rate 75+ ideas, 0–10 · **due 13:30**

A3 · 60-second pitch + one PDF slide · **upload by 16:30** for the merged pitch deck · credit until 17:30

A4 · multivote, in class · 10 teams of 4 form

THU 18

Refine

A5 · Business Thesis + Value Creation Analysis · **due 21:00**

Customer discovery, live in class

FRI 19

Validate

A6 · peer review · **due 8:30**

A7 · concept + prototype pitch · **due 8:30**

A8 · community survey, in class

Validated theses

26

Girotra, Meincke, Terwiesch and Ulrich · Wharton, 2023

GPT-4 out-ideated the MBAs.

Wharton's tournament, rerun: 200 student ideas against 200 from GPT-4, physical products for college students under $50. College-age consumers rated all 400 blind on purchase intent.

THE BEST 40 OF ALL 400 IDEAS, RANKED BY PURCHASE INTENT

Humans 200 ideas in · mean intent 40.4%	●●●●●	5
GPT-4, plain prompt 100 ideas in · mean intent 46.8%	●●●●●●●●●●●●●●●	15
GPT-4, seeded 100 ideas in · prompt seeded with 7 highly rated student ideas · mean intent 49.3%	●●●●●●●●●●●●●●●●●●●●	20

ChatGPT-assisted brainstorms produce **narrower idea sets**: across five experiments, the diversity drop was significant in 37 of 45 comparisons (Nature Human Behaviour, 2025).

Volume and average are now free. **Variance and judgment are your job.**

27

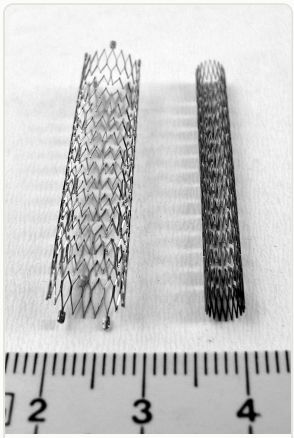
MYTH № 2 · GENERATION

~~I need to find a new technology or a new market.~~

Existing products, existing markets, a new way to match them: Business Model Innovation.

28

We picture innovation as new technology or new design.



The stent NEW TECH

Crocs NEW DESIGN

Sriracha NEW DESIGN

OpenAI

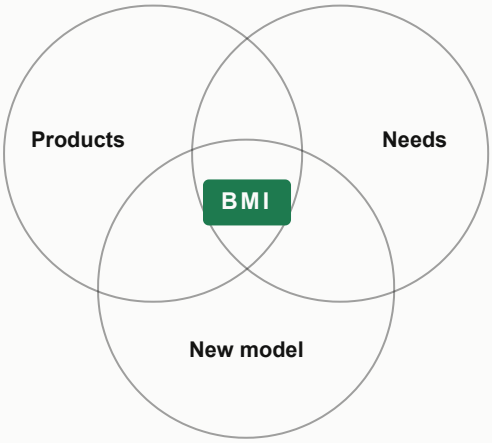
ANTHROP\C

Frontier AI NEW TECH

29

An often overlooked way to innovate

BMI: existing products + existing needs + a new model to provision them.



Products: existing products and technology

Needs: existing market needs

New model: a new business model to provision them

No technology risk, no new-market risk, no R&D bill. And harder for incumbents to imitate.

We love this stuff: Girotra & Netessine, *The Risk-Driven Business Model* · Osterwalder, *Business Model Generation*

30

Existing products · existing markets · a new match

The business-model hall of fame.

ZARA
design to rack in two weeks, not two seasons

amazon
retail rebuilt as a logistics and data machine

淘宝网 Taobao.com
a free marketplace, monetized sideways

TOYOTA
production itself as the innovation

ARAVIND EYE CARE SYSTEM
assembly-line eye surgery: world class, near free

SHOULDICE HERNIA HOSPITAL
one hernia operation, perfected for 80 years

ecovadis
sustainability ratings as market infrastructure · INSEAD alumni

EMMA SAFETY FOOTWEAR
safety footwear as a service · we'll meet them again

Same shirts, same surgeries, same shoes. **Different match between supply and demand.**

31

Girotra and Netessine, your pre-read

Four ways to re-match supply and demand.

When
Change the timeline
Uber is paid before the driver moves; taxi fleets waited weeks. Cash flow is a design choice.

Uber

Why
Change the incentives
Rolls-Royce sells thrust by the hour. Clinics get paid for outcomes, not visits.

What
Change the information
Zara postpones the commitment: styles are cut after demand is revealed, not two seasons ahead.

ZARA

How much
Change the cost & revenue architecture
Dollar Shave Club turned razors into a subscription: same blades, a new way to charge.

DOLLAR SHAVE CLUB

Every pattern you'll meet this week is one of these four moves.

"Four Paths to Business Model Innovation," Harvard Business Review, 2014.

32

MYTH № 3 · SELECTION

~~I'm a good judge of my own ideas.~~

The №1 startup killer: **a founder in love with their own idea.**

Ideas are best judged by a diverse crowd of the people they serve.

33

A quick test: which one had the better technology?

The best technology does not always win.

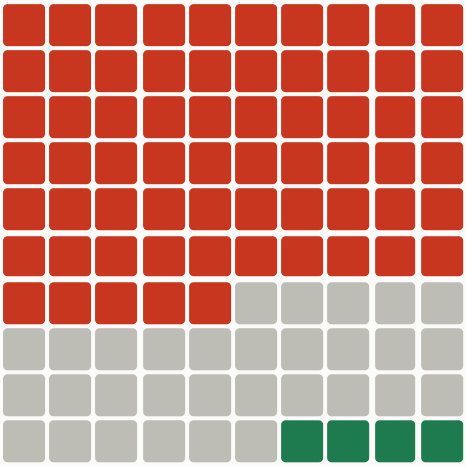
Sony Betamax the better picture	LOST TO	**VHS** longer tapes, open licensing; over 90% of the US market by 1987
Signal the security gold standard	LOST TO	**WhatsApp** 3 billion+ users vs about 70 million
Segway an engineering marvel	LOST TO	**E-scooters** 157M shared rides in 2023 vs about 140k Segways ever sold
Apple Newton a decade early	LOST TO	**Palm, then iPhone** timing and model beat brilliance

Your ranking and the market's ranking will not match. **Bet on the model, and let customers judge.**

34

Even the professionals can't pick

Smart money loses two times out of three.



One square is one financing: 21,640 US venture financings, 2004–2013. Correlation Ventures.

65 lost money
returned less than 1× the capital (64.8% of financings)

31 made 1–10×
25.3% returned 1–5×; another 5.9% returned 5–10×

4 made 10× or more
2.5% at 10–20× · 1.1% at 20–50× · 0.4% above 50×

Returns are **"low, extremely skewed, and unknowable until an investment is made."** Kerr, Nanda & Rhodes-Kropf, Journal of Economic Perspectives, 2014.

35

bvp.com/anti-portfolio

Bessemer Venture Partners

The best investors keep public lists of the legends they passed on.

Google

"How can I get out of this house without going anywhere near your garage?"
David Cowan, ducking an intro to Sergey and Larry, 1999 and 2000

Alphabet ≈ $4.4 trillion today

"Outrageously expensive."
Neill Brownstein, on pre-IPO stock at a $60M valuation

Apple ≈ $4.3 trillion today

ebay

"Stamps? Coins? Comic books? You've GOT to be kidding… No-brainer pass."
David Cowan

eBay ≈ $48 billion today

FedEx Express

"Incredibly, Bessemer passed on Federal Express seven times."
The complete entry; no partner named

FedEx ≈ $80 billion today

airbnb

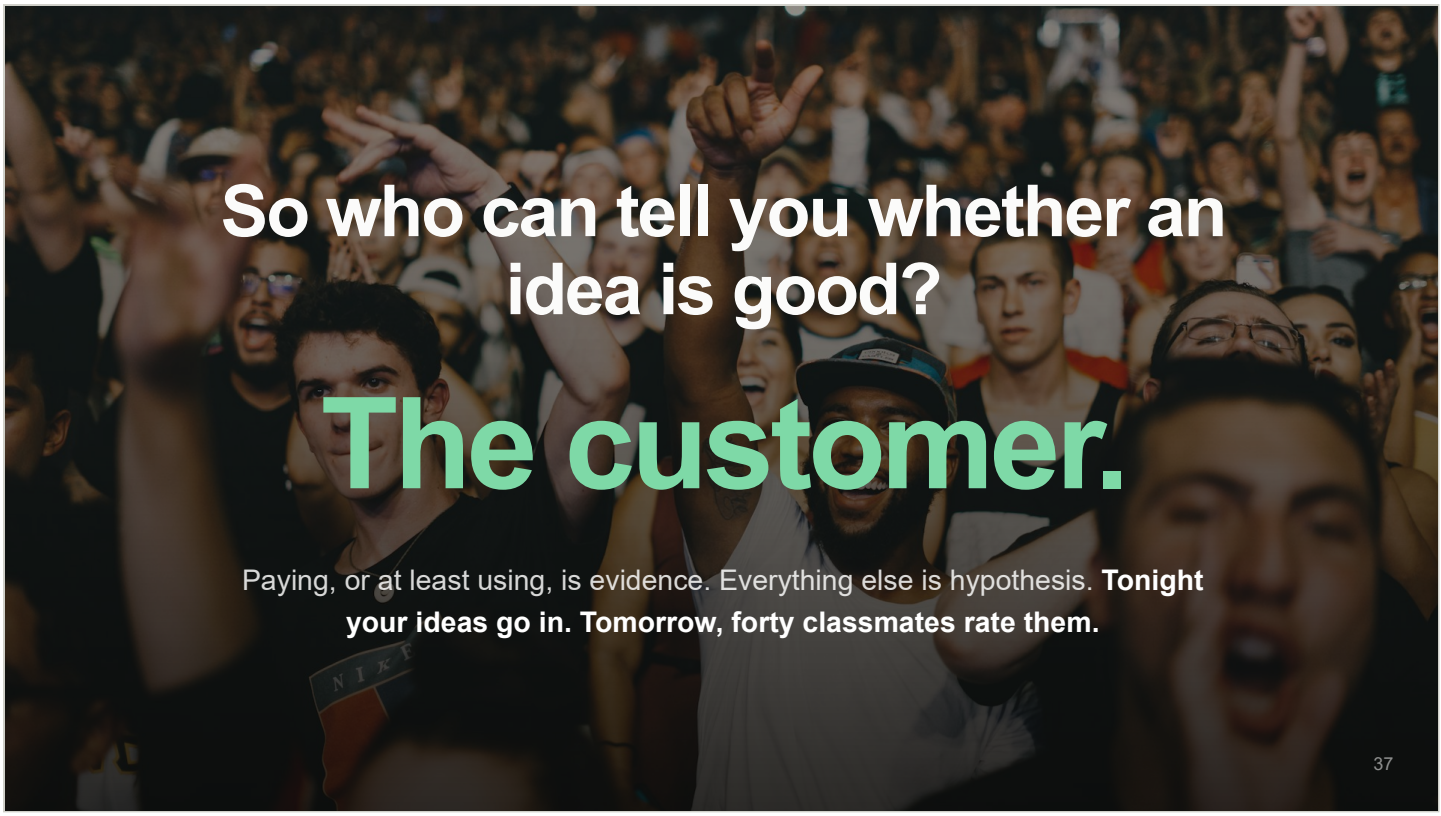
"In April, Airbnb raised money at 1.5X the 'crazy' price."
Jeremy Levine called the $40M ask "crazy," January 2010

Airbnb ≈ $77 billion today

"It's a win-win. I get a great car and some other VC pays for it!"
Byron Deeter, after test-driving the Roadster, 2006

Tesla ≈ $1.5 trillion today

36



MYTH № 4 · THE BUSINESS PLAN

~~A great business plan gets you funded.~~

Evidence of product-market fit gets you funded. You gather it like a scientist: hypothesize, experiment, refine.

38

The fallacy of the plan, 2001

Segway was the most hyped invention since the Macintosh.

Segway PT. Consumer launch price $4,950.

THE HYPE

As significant as the personal computer.

Steve Jobs, per the leaked book proposal, 2001

Maybe bigger than the Internet.

John Doerr, as reported by Time, December 2001

THE CUSTOMER

Nineteen years on sale, about 140,000 units: roughly what the plan projected for the first year.

Time's 50 Worst Inventions, 2010: "the vehicle of choice for mall cops and lazy tourists."

You want **fast failure** or **long-term success**. Medium-term failure is the trap: it eats savings, careers, and relationships.

39

Evidence-Based Entrepreneurship: the scientific method pointed at a business model design.

Treat every business model as a stack of guesses. Test the **riskiest guess** with the **cheapest experiment**, and let evidence steer.

Business model → **Hypothesis** → **Prototype** → **Experiment** → **Evidence** → **Refine**

REPEAT UNTIL THE EVIDENCE CONVINCES YOU

In startup vocabulary: **hypothesis** = assumption · **experiment** = customer conversation or prototype · **evidence** = validated learning · **iterate** = pivot or persevere.

40

The oldest algorithm we have

Think like a scientist.

Ask, research, hypothesize, experiment, analyze, share. Including the branch most founders skip: **is the test itself valid?** A broken experiment says nothing about the idea.

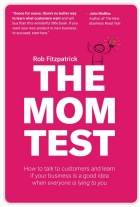
Every result, validated or not, feeds the next question.

Ask, research, hypothesize, experiment, analyze, share, and around again.

41

Talk to potential customers.

Hypotheses are tested on people. The full-term version of this course requires **100+ customer conversations**. A semester version: **200**.



The Mom Test, Rob Fitzpatrick: how to ask questions that get honest answers. More on Thursday.

42

The whole course on one slide

Four myths, four answers.

MYTH 1 · PROCESS ~~Great ideas strike you randomly.~~	→	**A wide funnel: idea tournaments.**
MYTH 2 · GENERATION ~~I need a new technology or a new market.~~	→	**Business Model Innovation.**
MYTH 3 · SELECTION ~~I'm a good judge of my own ideas.~~	→	**Wisdom of the crowd: communal feedback.**
MYTH 4 · THE BUSINESS PLAN ~~A great business plan gets you funded.~~	→	**Evidence of product-market fit, gathered scientifically.**

43

Break · 15 minutes

After the break: disciplined ideation.

You'll generate your first ideas **in the room**. Grab coffee. **You'll register on Torneio mid-session**; your five theses go in tonight.

44